

**=== INDICATOR: S.1.3 ===**

**INDICATOR NAME: Diversity Programmes**

**--- TICK-BOX: Managerial or board level responsibility for diversity initiatives ---**

**LOOK FOR:**

- A level C executive (CEO, COO) or someone directly reporting to that executive or to the board has been given explicit responsibility for diversity.
- Example: an Exec VP, Group VP, or Deputy Managing Director named as accountable.
- A CSR board committee counts only if diversity is explicit in that committee's terms of reference.

**DO NOT ACCEPT:**

- Disclosure that a board committee oversees diversity of the board or executive management only.
- This tick-box is about oversight of diversity across the company's overall workforce, not just board/exec-level diversity.

**EDGE CASES:**

- If the only oversight disclosed is for board/exec diversity composition, do not award this tick-box.

**--- TICK-BOX: Initiatives to recruit from diverse talent ---**

**LOOK FOR:**

- Initiatives to recruit from designated groups: women, minorities, natives, military/veterans, disabled, other disadvantaged groups.
- Examples: placement programmes, waived educational requirements, on-the-job training targeted at these groups.
- An explicit company-stated intention to increase minorities/women as a percent of workforce counts as targeted recruitment.

**DO NOT ACCEPT:**

- General recruitment initiatives such as at high schools and universities with no diversity targeting (belongs under Human Capital Development).
- A numeric target alone with no accompanying initiative described by the company.

**EDGE CASES:**

- Japanese companies forming a separate subsidiary to employ persons with disabilities: acceptable for this tick-box only if the company operates solely in Japan. If the company operates in multiple countries, the initiative must cover at least 50% of operations to qualify.

**--- TICK-BOX: Training and guidance regarding diversity ---**

**LOOK FOR:**

- Training provided to employees to make the work environment more inclusive, e.g. cross-cultural or gender-sensitivity training.
- Unconscious bias training counts, since it raises awareness of judgements based on race and gender and often covers anti-discrimination practices.

**DO NOT ACCEPT:**

- Diversity-related training that is not disclosed as covering at least 50% of employees.

**EDGE CASES:**

- Regularity/frequency of the training does not need to be disclosed to award this tick-box.

**--- TICK-BOX: Employee affinity groups, diversity councils, or networking groups ---**

**LOOK FOR:**

- Internal employee affinity groups, diversity councils, or internal networking groups.

**DO NOT ACCEPT:**

- External groups the company participates in (these count under a separate 'Diversity initiatives' assessment, not here).

**EDGE CASES:**

- The existence of employee resource groups (ERGs) alone is sufficient for this tick-box, distinct from mentorship via ERGs (see TB5).

**--- TICK-BOX: Mentorship programmes ---****LOOK FOR:**

- Programmes that mentor employees from specific designated groups, e.g. leadership development mentoring for women.
- Mentorship delivered through an ERG counts, if the company provides resources/approvals for it, even if not highly visible.

**DO NOT ACCEPT:**

- General mentorship programmes available to all employees at large, not targeted at specific groups.
- The simple existence of an ERG with no specified mentoring component (that alone belongs under TB4, not TB5).

**EDGE CASES:**

- Mentorship must be specifically described, not merely inferred from the ERG's existence.

**--- TICK-BOX: Initiatives supporting a diverse workforce ---****LOOK FOR:**

- Wheelchair ramps, parental (both maternal and paternal) leave, flexible work arrangements/home office/part-time roles when explicitly linked to diversity, programmes aimed at closing the gender pay gap.

**DO NOT ACCEPT:**

- Flexible work arrangements not specifically linked to diversity.
- Initiatives addressing groups that are very common/standard for the industry, e.g. former military service members in the US for Utilities companies.
- Maternal-only or paternal-only leave (must be parental leave covering both) to qualify on that basis.

**EDGE CASES:**

- Nursery rooms, lactation rooms, and breastfeeding facilities can also be considered supporting initiatives.

**--- TICK-BOX: Diversity monitoring or audits ---****LOOK FOR:**

- Key performance indicators such as % of women or visible minorities in senior or middle management, average length of career progression for a certain group, wage differential, etc.
- The number (not just percentage) of women or visible minorities in senior/middle management can be considered.
- Senior management includes anyone the company considers part of executive management, the executive committee, or other senior leadership roles with executive function. Middle management includes roles below executive level, e.g. HR department manager, director of customer relations, or others reporting to/acting as intermediaries with senior management.

**DO NOT ACCEPT:**

- Simply reporting the number of women in the workforce at large (this is standard disclosure, not monitoring/audits).
- Training-hours-per-gender statistics with no clear link to diversity initiatives.
- Companies disclosing only the names of females present in management.

**EDGE CASES:**

- Age distribution metrics are assessed under Human Capital Development, not here.

**--- TICK-BOX: The company has a programme that applies to less than 50% of operations ---****LOOK FOR:**

- The company's diversity programme applies to less than 50% of operations, e.g. because reporting only covers a subsidiary or region.

**DO NOT ACCEPT:**

- A programme applicable to all operations where only certain initiatives cover a minority of employees (e.g. targeted recruitment or ERGs are not expected to cover all employees by nature)
  - this does not qualify for this tick-box.

**EDGE CASES:**

- This tick-box is exclusionary: do not select any other tick-box when this one is selected, and vice versa.